

the first quarter of 2000 to over 100,000 in the first quarter of 2004.⁵⁴ Flipping plunged after the bubble to less than 40,000 per quarter, where it's roughly remained since.

Do you think these flippers cared about long-term price-to-rent ratios? Or whether the prices they paid were backed up by long-term income growth? Of course not. Those numbers weren't relevant to their game. The only thing that mattered to flippers was that the price of the home would be more next month than it was this month. And for many years, it was.

You can say a lot about these investors. You can call them speculators. You can call them irresponsible. You can shake your head at their willingness to take huge risks.

But I don't think you can call all of them irrational.

The formation of bubbles isn't so much about people irrationally participating in long-term investing. They're about people somewhat rationally moving toward short-term trading to capture momentum that had been feeding on itself.

What do you expect people to do when momentum creates a big short-term return potential? Sit and watch patiently? Never. That's not how the world works. Profits will always be chased. And short-term traders operate in an area where the rules governing long-term investing—particularly around valuation—are ignored, because they're irrelevant to the game being played.

That's where things get interesting, and where the problems begin.

Bubbles do their damage when long-term investors playing one game start taking their cues from those short-term traders playing another.

Cisco stock rose 300% in 1999 to \$60 per share. At that price the company was valued at \$600 billion, which is insane. Few actually thought it was worth that much; the day-traders were just having their fun. Economist Burton Malkiel once pointed out that Cisco's implied growth rate at that valuation meant it would become larger than the entire U.S. economy within 20 years.

But if you were a long-term investor in 1999, \$60 was the only price available to buy. And many people were buying it at that price. So you may have looked around and said to yourself, "Wow, maybe these other